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Canada's Dual Fronts: Navigating Economic Struggles and Foreign Commitments in the Wake of COVID-19 and the Ukrainian-Russian Conflict

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Canada's response to both the COVID-19 pandemic and the Ukrainian-Russian conflict has shaped its domestic and foreign policy landscape. The aftermath of COVID-19 policies has left Canada grappling with economic challenges such as higher interest rates, lower GDP, and a housing crisis. Concurrently, Russia's invasion of Ukraine in 2022 has led to one of the most significant geopolitical disasters in recent history. Canada, along with other Western allies, has provided substantial military and financial support to Ukraine in response to Russia's aggression. This article examines Canada's role in the conflict, analyzing its funding commitments, including military aid and humanitarian assistance, while considering the economic implications of such allocations. Through a breakdown of pre and post-2022 conflict contexts, as well as a discussion of Canada's economic struggles post-COVID, this article aims to provide readers with a comprehensive understanding of Canada's involvement in the Ukrainian-Russian conflict and the impact on both domestic and international fronts.

Introduction:

Canada was among the countries which experienced a major setback from the repercussions of policies set to combat the COVID pandemic. Much like other G7 nations, Canada faced higher interest rates, lower GDP, and a long-lasting detrimental impact on its domestic economy ("Canada", 2024). Four years after the start of the pandemic, Canadians are still struggling to keep up with their mortgage payments, the rising cost of living, and a potential housing crisis brewing for a collapse ("Understanding", 2022). Policies regarding COVID-19 vaccination triggered even further unrest amongst Canadians, who collectively displayed their displeasure with the government in the trucker convoy protest (Alden, 2022). This event stalled supply chains and displayed how easily Canada's economy can be devastated internally (Alden, 2022). While global economies were twisted inside outwards due to the implications of COVID policies, Russian troops entered Ukraine.

The 2022 invasion of Ukraine classified by Russia as a “special military operation” has spiralled into one of the biggest geopolitical disasters and threats to international peacekeeping efforts (“Russian”, 2022). Since the start of the war, Ukraine has received heavy military and financial support from major Western allies such as the US, Germany, and the UK. This heavy Western backing has only further instigated the conflict, and given the chance for Ukraine to successfully fight back, extending the Russian operation into a multi-year war (“Russian”, 2022). Canada has been an instrumental player in the proxy funding of Ukraine’s military operations (Figure 1). Canadian Prime Minister, Justin Trudeau, has consistently affirmed Canada’s unwavering support for the Ukrainian war effort (Trudeau, 2023). This financial and military backing from the Canadian government comes at the hands of Canada’s taxpayers with the purpose of supporting Ukraine’s army to avoid a foreseen Russian invasion into NATO territory.

The government has allocated numerous large aid packages to support Ukraine in its fight against the Russians (Al Mallees, 2023). This article aims to highlight the causes of the Ukrainian-Russian war which the Canadian government has allocated funds to in the form of military, humanitarian, and stimulus aid on behalf of Canada. This piece will not dictate a stance on whether the decision to fund these specific causes is positive or negative towards Canadians & Ukraine, but will provide the information necessary for Canadians to be informed of what their tax dollars fund in the context of the Russian-Ukrainian war.

Context of Pre-2022 Conflict

In 2014, Russia claimed and annexed Crimea, a southwestern peninsula vital to Russia’s access to the black sea and its trading routes towards the Atlantic Ocean (“Russian”, 2022). Ukraine has a large population of Russian identifying & speaking citizens, primarily residing in the Donbas eastern provinces of Donetsk & Luhansk, and a sizable Russian population in Crimea & Zaporizhzhya (“Russian”, 2022). This annexation of Ukrainian territory triggered a longstanding conflict which saw over

13,000 casualties (Hamilton, 2019). Russia's decision to annex Crimea stemmed from a supposed referendum where Ukrainians voted to become a part of the Russian Federation (Hamilton, 2019). Once the region was integrated into the Russian economy, pro-Ukrainian movements and militias began to rise in the Donbas region of Eastern Ukraine. Figure 1 displays the set of events which factored as a precursor to Putin's eventual full land invasion into Ukrainian Territory.

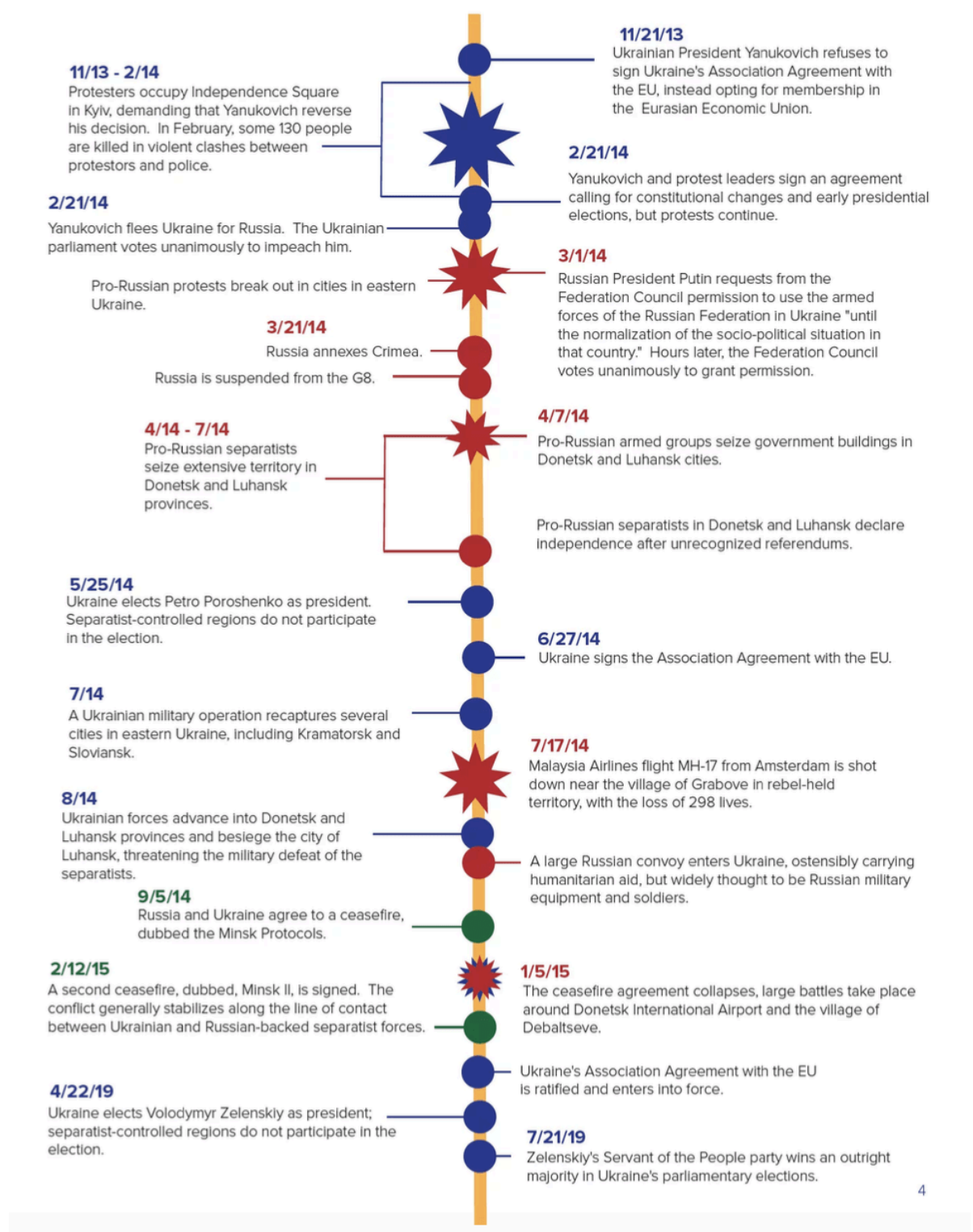


Figure 1: Timeline of Russian – Ukrainian conflict (Hamilton, 2019)

Context of the 2022 Conflict

Although this article focuses on the funding dedicated to this conflict, it is important to provide context as to why Canada is providing this assistance in the first place. As a broad summary of events, Russia conducted its invasion in response to growing content by Ukraine to

join the EU and NATO (Maynes, 2022). After the collapse of the Soviet Union & the Berlin Wall, Russia ensured that the Western world would not creep eastwards towards the former Soviet Bloc. With the addition of numerous nations such as Poland, Lithuania, and Latvia, to NATO and the EU, Russia's priorities fell on keeping control of Eastern Ukraine and the access which it provides to Russia's main trading ports by the Black Sea (Maynes, 2022). The Western world sees the invasion as a precursor to Russia's larger plan of regaining land lost in the fall of the Soviet Union known to Vladimir Putin as "historical Russia" (Maynes, 2022). Given Russia emerges victorious in this conflict, Western nations worry NATO and EU members will be next on Putin's list, including major nations such as Poland, Finland, and the Baltic states (Maynes, 2022). Therefore, Canada's funding of the Ukraine war is based on the theory of prevention, as Russia's invasion of NATO members would mean sending the Canadian military to fight in foreign lands due to protection agreements within NATO.



Figure 2: Map of countries delivering military aid to Ukraine ("Delivering", 2023)

Military Aid & Funding (Pre-2024)

Canada's funding began in November 2022 as Russian troops made their way into eastern Ukrainian territory. As shown in Figure 1, the majority of European and North American nations allocated funds

towards the Ukrainian war effort. Within the first two months of the 2022 extension of a decades-long conflict, Canada had already committed 4500 M-72 rocket launchers, 100 Carl Gustaf anti-tank weapons, up to 37 M777-Howitzers, and 8 Rohsel armoured vehicles to Ukraine (Mazerolle, 2023). The Ukrainian embassy in Ottawa made a statement acknowledging Canada for providing 500 thousand dollars in allocated aid but urged the government to understand they need weapons as a priority over financial aid (Mazerolle, 2023).

Military Funding Breakdown:

<u>Missiles (value unknown)</u>
288 AIM-7s
43 AIM-9s
12 AIM-120s
Total Missiles: 343
NASAMS Air Defense Missile System - \$406 million
<u>Artillery</u>
4 - M-777 Howitzers -- N/A (\$9 million replacement Barrels)
40 000 rounds ammunition -- \$60 million
100 Carl Gustaf Anti-Armour Weapon System -- N/A
4200 M-72 Rocket Launchers -- \$7 million
7000 C13 Grenades -- \$7 million
Small Arms & Ammo -- \$69 Million
<u>Tanks / Armoured Vehicles</u>
8 Leopard-2s -- \$6.5 to \$38 million/ Tank
39 Armoured Combat Support Vehicles -- \$245 million
208 Roshel Armoured Vehicles -- \$90 million
1 Armoured Recovery Vehicle -- N/A
<u>Technology</u>
76 Specialized Drone Cameras - \$100 million
High Resolution Satellite Imagery - \$22 million
Helmets, Night Vision Goggles, Gas Masks - \$15 million

Figure 3: Breakdown of Military Funding to Ukraine (Mazerolle, 2023)

Humanitarian Aid Pre-2024 & 2024 Funding

The Canadian government provided various waves of funding in 2022 for post-war relief and to aid the humanitarian crisis brewing with a 3-day operation now closing in on a year of combat (“Canada’s”, 2022). Canada had committed over \$145 million to Ukrainian humanitarian

relief efforts by the end of 2022, spread across 10+ organizations and charities including the Ukrainian Red Cross (“Canada’s”, 2022).

The above-mentioned sum of Canadian input into the Ukrainian economy was an immediate and ongoing commitment to Ukraine’s sovereignty, potentially even seen as an investment towards the proxy conflict against Russia’s influence in the Eastern Ukrainian territories. Fast-forward to 2024 and the breakdown of funding has significantly increased:

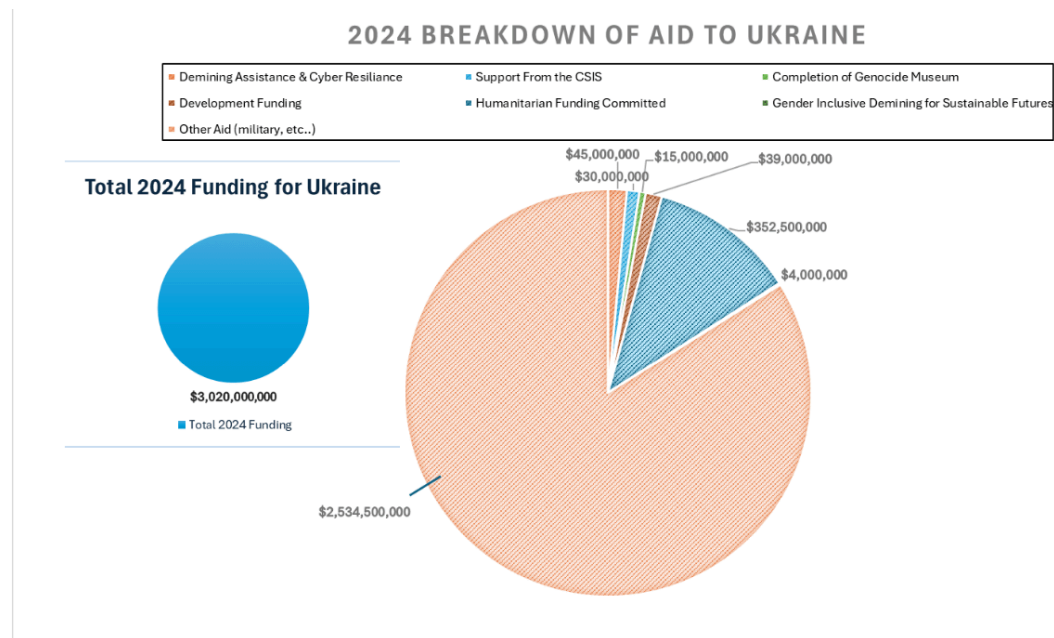


Figure 4: Breakdown of Canada’s 2024 funding commitment to Ukraine (Trudeau, 2024)

The chart above displays a couple of the categories to which Canada allocated its total 2024 commitment of \$3.02 billion towards Ukraine (Trudeau, 2024). The 2024 funding is directed primarily at humanitarian aid and other causes, the majority made up of military funding for the Ukrainian armed forces (Trudeau, 2024). Canada’s government allocated \$352 million in humanitarian aid aimed at providing current Ukrainian citizens with food, shelter, and other basic human necessities (“Canada’s”, 2022).

Recap

Since the start of the 2022 Invasion of Ukraine, Canada has committed a total of \$9.5 billion towards various causes aimed at supporting Ukraine's war against Russian forces (Al Mallees, 2023). Canadian tax dollars are being put to use in order to strengthen foreign interests in the name of preventative control over potential Russian intentions ("Russian", 2022). The total sum committed to the protection of Ukraine is primarily pledged to maintain and advance Ukraine's army with a sizable portion directed at providing necessities and humanitarian assistance to citizens (Figure 4).

Economic Implications

The funding of the Ukrainian war directly stems from taxpayer dollars and causes additional stress on the already fragile Canadian economy still recovering from the effects of the COVID-19 pandemic and numerous stimulus initiatives such as the CERB payments. With interest rates rising in the last couple of years, many Canadians are now struggling to pay off debts and mortgages ("Canada", 2024). Along with rising interest rates post-2020, the cost of living in Canada's major cities has continued to increase as well with gas, groceries, and consumer necessities becoming more expensive as well ("Consumer", 2024). In addition, Trudeau's proposed carbon tax is predicted to only further increase the prices of products throughout the supply chain process (Fletcher, 2023). These factors combined create an environment which may or may not provide a sense of support for the Canadian domestic economy.

The billions in funding committed towards Ukraine is less than other major nations, in particular the United States and Germany ("Total", 2024). However, with a much smaller population and a necessary condition of high GDP output to uphold the economy, allocating this much money to foreign conflicts and proxy wars has potentially triggered mixed feelings from Canadian citizens in regard to

prioritizing a domestic protectionist stance or supporting Ukraine (Boynton, 2023). The counterargument generally lies in Canada needing to ensure NATO security is not compromised as in the event that Russia conquered Ukraine, NATO members fear a potential continued invasion into other member nations such as Poland (Boynton, 2023).

Final Remarks

Differentiating and concluding between the positives and negatives of prioritizing either of these stances is difficult to do due to the differing opinions on Canada's foreign & domestic policies (Boynton, 2023). This article provides the foundation to understand what the background, current status quo, and historical funding of the conflict was, in order for ordinary Canadians to develop their own opinionated position on our government's actions in support of Ukraine.

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